Transaction Monitoring Policy (TMP-002)

Version 1.0 | Fictional document created for the FinGuard AI portfolio project.

1. Objective

This policy sets the monitoring rules used to identify unusual or suspicious card and online transactions. Rules are reviewed quarterly by the Fraud Risk Committee.

2. Monitoring Rules

The following rules generate alerts for analyst review. Rules never block transactions automatically.

2.1 Unfamiliar Geography

A transaction made from a country that accounts for less than 3 percent of the customer base's historical transactions, combined with a new device, must be flagged for enhanced review.

2.2 High-Risk Merchant Categories

Gift cards, jewelry and electronics are designated high-risk categories because they are easily resold. Transactions in these categories over 2 times the customer's typical amount require enhanced monitoring.

2.3 Night-Time Activity

Online transactions between 23:00 and 05:00 are not suspicious on their own. They must be flagged only when combined with at least one other rule, such as unfamiliar geography or a high-risk category.

3. Weekly Fraud-Rate Monitoring

The fraud operations team tracks the weekly confirmed fraud rate against a trailing 14-day baseline.

3.1 Warning Threshold

A weekly fraud rate above 2 times the baseline triggers a warning and a driver analysis by category, country, channel and device type.

3.2 Critical Threshold

A weekly fraud rate above 5 times the baseline is a critical event and must be escalated under the Risk Escalation Guidelines (ESC-003).